

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital | Sonya Huang, Pat Grady and GPT-4 | September 2023



Six Decades of Technological Progress Converged to Enable Generative AI

6 DECADES

1960s →

Moore's Law & Compute

Delivered the compute horsepower to process exaflops of data

4 DECADES

1980s →

Internet & Training Data

Produced trillions of tokens of training data, accelerated by COVID

2 DECADES

2000s →

Mobile & Cloud

Put a supercomputer in every human's palm

GenAI

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

in startup revenue — months, not years

ChatGPT

Fastest-growing application in history

Strong PMF with students & developers

Midjourney

Hundreds of millions in revenue

Built with a team of just 11 people

Character.ai

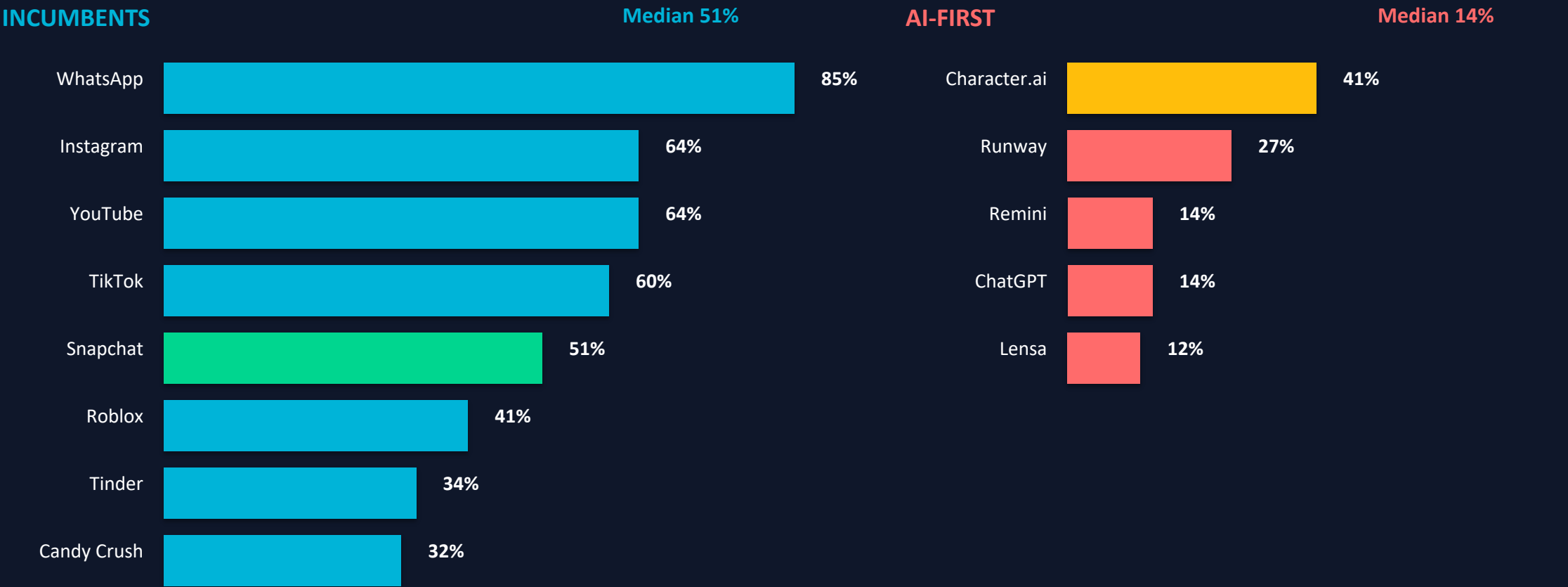
2-hour average session time

Popularized AI entertainment & companionship

Despite successes, many AI companies lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile App Retention Rates | 3.6× disadvantage for AI-first companies

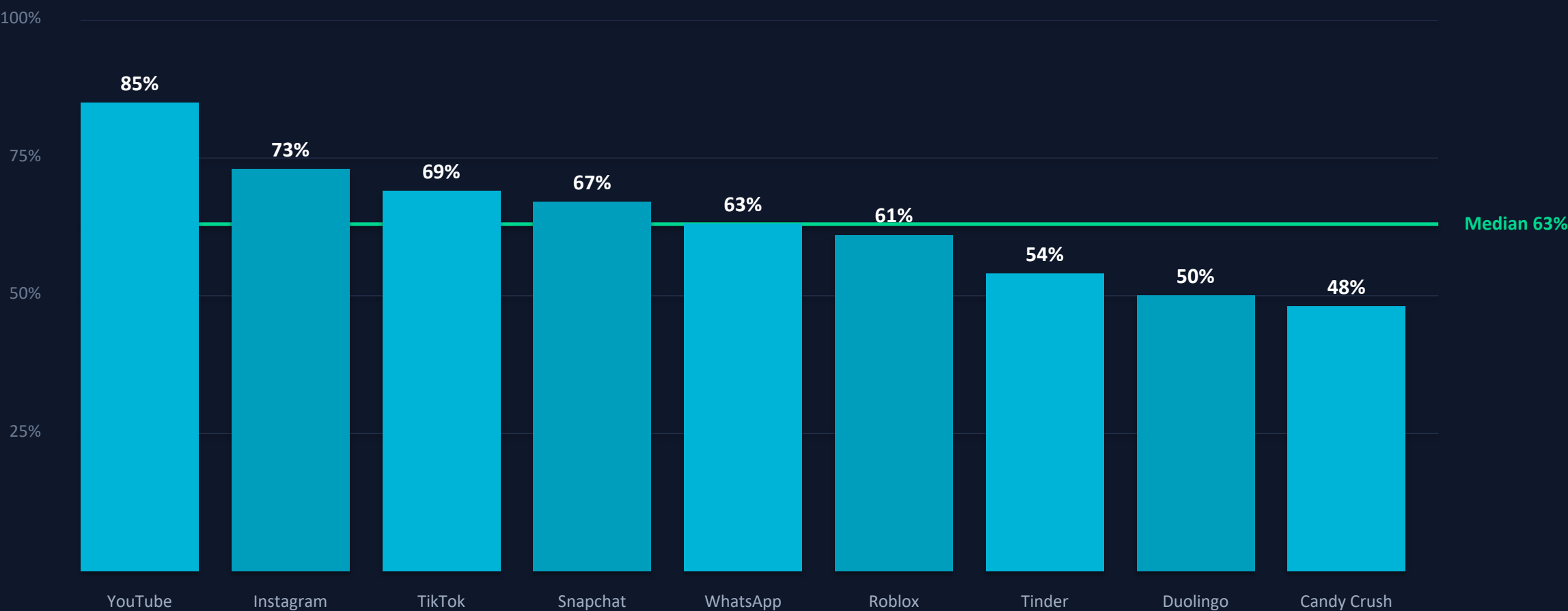


Character.ai is the retention outlier at 41%, approaching incumbent levels

Suggesting companionship / entertainment may be generative AI's strongest consumer use case.

YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly active usage benchmark | Median 63% | The bar AI apps must clear



Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: TECHNOLOGY-OUT

- × Foundation models as the entire solution
- × Novelty demos and lightweight wrappers
- × Cool technology looking for a problem
- × Single-modal approaches
- × Poor retention — 14% median
- × Undifferentiated "AI copilot" pitches



ACT 2: CUSTOMER-BACK

- ✓ Foundation models as a piece of a comprehensive solution
- ✓ New editing interfaces that improve stickiness
- ✓ Multi-modal in nature
- ✓ End-to-end problem solving
- ✓ Workflow-integrated products
- ✓ Solving real human problems

ACT 2 EXEMPLARS

- | | |
|-----------|---------------------------------------|
| Harvey | Custom LLMs for elite law firms |
| Glean | Enterprise AI with workspace indexing |
| Character | AI companionship at scale |
| Ava | Digital companions |

Market Map Reorganized by Use Case, Not Model Modality

Reflecting the evolution from technology hammer to actual value delivery



Applications are increasingly multi-modal — the organizing principle is the human problem being solved, not the underlying model.

Key Takeaways: What Separates Winners in Act Two

01

Retention Is the Critical Challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6× gap that determines survival.

02

Foundation Models ≠ The Product

Models should be a component of a comprehensive solution, not the entire offering. Thin wrappers won't endure.

03

Multi-Modal, Workflow-Integrated Solutions Win

New editing interfaces and end-to-end problem solving create the stickiness that pure chatbots lack.

04

Real Demand Is Proven

The >\$1B revenue milestone proves commercial demand exists despite hype-cycle skepticism.

05

Solve End-to-End Human Problems

Companies like Harvey, Glean, Character, and Ava define Act 2 by starting from the customer problem, not the technology.